

Ruchir Sharma: When Will the AI Bubble Burst?

Extracted from: When will the AI bubble burst?

Source: [Norges Bank Investment Management \(YouTube\)](#)

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 **5-Minute Version:** [Watch Key Excerpts](#)

Executive Summary

Sharma frames the US economy as **one big bet on AI**—60% of economic growth driven by AI capex (40% direct) plus wealth effect (top 10% spending powered by AI stock gains). The bubble checklist is filling: **overinvestment** (tech capex at 5% of GDP, matching 2000), **overvaluation** (price-to-FCF at extremes), **overownership** (52% of US household wealth in equities, higher than 2000), and **overleveraging now accelerating** as Meta/Amazon/MSFT issue debt for AI arms race. The trigger for bursting: **interest rates going up**—every bubble in history pricked by same factor.

The key distinction from prior tech bubbles: **this is the most hated tech revolution**. Only 35% of people feel positive about AI; most fear job displacement. China's DeepSeek moment showed convergence at 1/5 the capex spend (\$100B vs \$500B), but US markets shrugged it off—faith in AI remains unquestioned. Meanwhile, **quality stocks have had one of the worst 12-month runs in recorded history**, creating a contrarian entry.

For PMs: **underweight US, overweight international**—this outperformance trend is multi-year once it begins. Rotate into quality factor (high ROE, low leverage, reasonable valuations) which is historically cheap. The bubble won't burst until rates rise, and Fed keeps cutting despite 3% inflation—but watch for any hawkish pivot as the signal to exit AI longs. This is a “good bubble” (productivity-enhancing), but good bubbles still burst.

Listen or Skip?

Verdict: Must-listen

Aspect	Rating
Signal density	★★★★☆
Actionability	★★★★★
Novel insights	★★★★☆
Production quality	★★★☆☆

Best for: Global macro allocators, factor investors, anyone sizing US vs international exposure **Skip if:** Looking for AI stock picks or crypto analysis

Key Quotes

- “The US economy has now become one big bet on AI. Outside of AI there's a lot of weakness. AI has continued to drive everything.”
- “About 60% of economic growth in America today is being driven by AI—40% direct capex, plus the wealth effect powering spending of the really rich people.”
- “This is the most hated tech revolution. Only about 35% of people are feeling good about AI. Most want it regulated because they're fearful.”
- “Americans have about 52% of their financial wealth today in equities—that is higher than what it was even in 2000.”
- “Every single bubble or mania in history has been pricked by just one factor: when interest rates finally go up.”

6. *"Chinese LLM models have reached virtual convergence with the US and they're spending about 1/5 the amount."*
7. *"Quality stocks have had one of the worst runs in recorded history in the last 12 months. There has never been a better time to buy quality."*
8. *"This trend of international markets outperforming the US—these tend to be multi-year trends once they begin."*

1) Executive Dashboard

Metric	Assessment
Net Signal	Risk-Off
Conviction	High
Time Horizon	Cyclical (1-6m) to Structural (1y+)
Primary Domain(s)	Equities, Macro
Why Now?	Bubble checklist nearly complete; quality factor at historic discount; international outperformance trend beginning

Top 3 Investable Ideas:

1. **Long Quality factor** — historically cheap after worst 12-month run on record; high ROE, low leverage screens
2. **Long International vs US** — multi-year trend once begun; US at 70% MSCI weight, dollar overvalued
3. **Reduce US AI exposure** — wait for rates-up signal; bubble bursts when Fed turns hawkish

2) Key Investable Insights

Insight 1: Quality Factor at Historic Discount

- **Claim:** Quality stocks (high ROE, low leverage, stable growth) have had one of the worst 12-month periods in recorded history—contrarian entry point.
- **Asset Class:** Global Equities (Factor)
- **Mechanism:** AI mania drove speculative flows to momentum/growth; quality ignored. Mean reversion plus defensive characteristics when bubble bursts.
- **Expression:** Long quality factor ETFs (QUAL, SPHQ) or custom screen (ROE >15%, debt/equity sub-0.5x, 3yr earnings stability).
- **Trigger to Exit/Flip:** Quality outperforms for 6+ months; valuation gap closes.
- **Confidence:** High

Insight 2: International Outperformance is Multi-Year

- **Claim:** US underperformed international in 2025 (Europe, EM, China all beat); this is the start of a multi-year trend, not a blip.
- **Asset Class:** Global Equities (Geographic)
- **Mechanism:** US at 70% MSCI weight (extreme crowding), dollar overvalued; Europe/China doing reforms under pressure (Germany labor markets, China pivoting to private sector for AI).
- **Expression:** Underweight US (reduce SPY), overweight EAFE/EM (VEA, VWO, FXI).
- **Trigger to Exit/Flip:** US relative valuations normalize (sub-50% MSCI weight); dollar fair value.
- **Confidence:** Medium-High

Insight 3: AI Bubble Bursts on Rate Hikes

- **Claim:** All bubbles burst when rates rise. Fed still cutting despite 3% inflation—bubble intact until Fed pivots hawkish.
- **Asset Class:** US Equities, Rates
- **Mechanism:** AI capex financed by debt (Meta, AMZN, MSFT issuing); higher rates = higher cost of capital = multiple compression + capex slowdown.

- **Expression:** Short QQQ puts as hedge; long 2y Treasuries as rate-up play if inflation re-accelerates.
- **Trigger to Exit/Flip:** Fed signals pause/hike cycle; 10y above 5%.
- **Confidence:** Medium (timing uncertain)

3) Transmission & Cross-Asset Map

Primary Driver	Direct Impact (1st Order)	Spillover (2nd Order)	Correlation Risk	Funding/Carry Impact	Positioning/Flows
AI capex slowdown	Mag 7 earnings miss	SPX down 15-20%, VIX spike	All risk assets correlated in selloff	Credit spreads widen on tech debt	52% household wealth in equities = forced selling
Fed rate hike	Bond prices down, yields up	USD strengthens, EM stress	Rates-equity correlation flips positive	Carry trades unwind	Flight to quality factor
International outperformance	Europe/EM inflows	USD weakness	Decoupling from US	EM carry attractive	Rebalancing from 70% US MSCI weight
China AI convergence	DeepSeek 2.0 moment	US AI multiple compression	China-US decoupling accelerates	RMB strengthens	Tech rotation to China

4) Regime & Scenario Analysis

- **Current Regime Fit:** Late-cycle bubble + fiscal/monetary stimulus. Classic “good bubble” (tech/productivity) but still a bubble.
- **Base Case (55%):** AI bubble deflates slowly over 2026 as Fed pauses; quality/international outperform; no crash, just rotation.
- **Alt Case (30%):** Inflation re-accelerates → Fed hikes → bubble bursts sharply; 20-30% drawdown in US tech; flight to quality and international.
- **Bull Case (15%):** AI productivity gains materialize faster than expected; capex justified; bubble becomes new normal.
- **Anti-Thesis Trigger:** Productivity data shows clear AI impact (sub-2yr); Fed achieves soft landing at 2% inflation.
- **Tail Risks:** China DeepSeek 2.0 moment (AI parity at fraction of cost); US fiscal crisis forces Fed hand.

5) Hard Data & Verifiable Claims

- **Data:** 40% of US economic growth from AI capex spending
- **Data:** 80% of US stock market gains this year powered by AI plays
- **Data:** Tech investment at 5% of GDP—matching 2000 bubble
- **Data:** 52% of US household financial wealth in equities (higher than 2000)
- **Data:** Fed missed 2% inflation target for 5 years running
- **Data:** China AI capex ~\$100B vs US ~\$500B (1/5 ratio)
- **Data:** US at ~70% of MSCI global equity indices by start of 2025
- **Claim:** Only 35% of people feel positive about AI (survey-based)
- **Claim:** Quality factor had one of worst 12-month runs “in recorded history”
- **Claim:** Chinese LLMs reached “virtual convergence” with US models
- **Data:** Tariff revenues reduced US deficit by 1% of GDP

6) BS & Bias Filter

- **Incentives:** Sharma is global investor/author; talking his book on international diversification, but framework is internally consistent.

- **Blind Spots:** Dismissive of AI productivity potential; no quantification of “quality” underperformance claim; limited crypto/digital asset perspective.
 - **Track Record:** “What Went Wrong with Capitalism” thesis has held up directionally; global rotation call correct for 2025.
 - **Consensus Check:** Contrarian on US (most still long); consensus-ish on AI being a bubble (but with different timing).
 - **Sample Bias:** Focus on large-cap developed markets; limited EM granularity beyond China.
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7) PM Bottom Line

Action → Trade

Rotate from US to international (Europe, EM)—this is multi-year trend, not tactical. Build quality factor exposure now while historically cheap. Maintain AI exposure but hedge with QQQ puts and tight stops; the trigger is Fed hawkishness, not fundamentals. Watch inflation prints and Fed rhetoric closely—bubble bursts on rates, nothing else.

Key watches: CPI prints (re-acceleration to 3.5%+ = danger); Fed dot plot shifts; 10y yield above 4.75%; China DeepSeek follow-up announcements; quality factor relative performance (mean reversion signal).